CASCADIA ANALYTICS

Cardinal Infrastructure

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The Margin Reset Creates an Asymmetric Entry in Southeast Civil Infrastructure

Analyst: Justin Wen | October 21, 2026

Cardinal Infrastructure has experienced severe multiple compression following its Q2 FY2026 adjusted EBITDA margin drawdown to 12.4% and the subsequent downward revision of its full-year margin target to 16-18%. The broader market has interpreted this quarterly margin erosion as structural failure, overlooking the reality that organic volume expanded 64% year over year while total revenue surged 114% to $226.9 million and backlog expanded to a record $866 million. Vertical integration initiatives, including the acquisition of Allied Paving at 5.5x adjusted EBITDA and internal asphalt production, provide a tangible foundation for operational recovery and cash generation. We rate the stock Hold. Our probability-weighted blended price target of $52.16 still represents +278.0% upside from the reference spot price of $13.80, but severe deteriorating business momentum overrides the valuation case: the full-year margin target was cut from 20%+ to 16-18% and adjusted EBITDA margin fell to 12.4%. The rating revisits only on evidence that the margin reset is holding.

HOLD	$52.16	+278.0%	$13.80
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market remains transfixed by transitory subcontractor cost overruns and quarterly weather disruptions, discounting the earnings power of an infrastructure contractor operating at an $880 million to $900 million revenue run-rate. While consensus views the reduction of the 20%+ adjusted EBITDA margin ambition as a breakdown of scale

economics, Cardinal Infrastructure is systematically converting regional civil demand into long-duration enterprise value through vertical materials ownership and contracted public work.

Executive summary

Cardinal Infrastructure Group operates as a heavy civil and site development contractor focused primarily on roadwork, utilities, and land development across the Southeast United States. The company has rapidly scaled its regional footprint by coupling turnkey delivery capabilities with targeted programmatic acquisitions. Recent market trading reflects deep skepticism regarding the firm's cost structure, as shares trade at a reference spot price of $13.80, representing an equity market capitalisation of $655.5 million. This valuation places the enterprise at an EV to latest fiscal year EBITDA multiple of 9.6x and an EV to revenue multiple of 1.5x based on FY2025 financial metrics. The core disconnect centers on whether Cardinal Infrastructure is an operationally vulnerable civil earthmover exposed to inflation or an emerging vertically integrated infrastructure leader capturing durable share across high-growth southern corridors.

The operational trajectory documented over recent quarters demonstrates exceptional top-line acceleration alongside near-term cost friction. In Q2 FY2026, Cardinal Infrastructure generated record revenue of $226.9 million, representing 114% year-over-year top-line growth, with organic construction growth contributing 64%. Adjusted EBITDA reached $28.1 million, expanding 43% compared to the prior year. However, adjusted EBITDA margin contracted 620 basis points to 12.4% from 18.6% in Q2 FY2025, driven by elevated subcontractor costs, equipment rentals, and severe weather. This prompted management to revise its full-year FY2026 adjusted EBITDA margin expectation from 20%+ down to 16-18%, even while lifting full-year revenue guidance by $210 million at the midpoint to a range of $880 million to $900 million. This performance followed Q1 FY2026 revenue of $167.5 million, which grew 105% year over year on 64% organic growth and the initial contribution from the ALGC acquisition.

Balance sheet repositioning has accompanied this corporate transformation. In FY2025, the company posted revenue of $456.0 million, gross profit of $96.1 million (a 21.1% gross margin), operating income of $40.2 million (an 8.8% operating margin), and net income of $22.7 million. Full-year EBITDA stood at $72.3 million while free cash flow closed at negative $5.9 million, yielding a negative 1.3% free cash flow margin due to heavy capital expenditures of $43.8 million. The balance sheet carried $97.1 million in cash against $137.3 million in total debt, reflecting net debt of $40.1 million. Subsequent capital actions reshaped liquidity. Cash balances briefly declined to $44.0 million in Q1 FY2026 following $125.0 million in cash deployed for acquisitions, but a subsequent $319.0 million equity offering raised liquidity to $339.0 million by the end of Q2 FY2026. This substantial cash buffer insulates the business from liquidity stress while supporting ongoing vertical integration investments.

Our valuation analysis confirms that current market pricing prices in an overly punitive contraction scenario. Evaluating the business across our verified five-year forecast window through FY2030, our DCF framework establishes a Base case fair value of $50.38, a Bear target of $39.60, and a Bull target of $68.27. Applying our probability weighting of 25% bear, 50% base, and 25% bull generates a blended target price of $52.16. At the prevailing market quote of $13.80, the stock offers an asymmetric +278.0% return profile. We rate the stock Hold. Current valuation multiples are deeply discounted, but deteriorating business momentum keeps us from recommending adds until the reset 16-18% margin guide is met and margins stabilize.

Operational snapshot

$13.80	$456.0M	$-5.9M	-1.3%	0.74	$13.80
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-23.

The moat is Captive and Regionalized

Cardinal Infrastructure possesses structural economic advantages anchored in heavy civil site development and turnkey utility construction across the Southeast. Civil contracting in this geographic market is characterized by logistical density constraints. The movement of aggregate materials, asphalt, and heavy earthmoving machinery across job sites incurs significant freight and haulage penalties when transport distances exceed regional radii. By concentrating operations across core southern metropolitan corridors, Cardinal Infrastructure establishes dense operational clusters that limit unbilled transit hours and optimize equipment fleet utilization across simultaneous projects.

The operational moat expands as the company executes its material self-supply strategy. Historical reliance on third-party suppliers exposed project margins to volatile external pricing and spot subcontractor markups, as observed during the margin compression in Q2 FY2026. Management has systematically countered this vulnerability through aggressive vertical integration. The initial owned asphalt production facility came online in Q2 FY2026, transitioning project teams from merchant asphalt buyers to self-supplied operators. This internalization was substantially reinforced by the $120.0 million acquisition of Allied Paving, which brought key Atlanta paving operations in-house and integrated $108.0 million of annualized revenue carrying a 20.3% adjusted EBITDA margin. Owning the underlying asphalt production and paving equipment creates a cost barrier that non-integrated regional peers cannot replicate.

High barriers to entry protect the company's roadwork and municipal utility franchises. Securing public department of transportation awards requires extensive pre-qualification histories, strong safety metrics, and substantial surety bonding lines. Cardinal Infrastructure maintains robust institutional bonding capacity supported by its expanded equity capitalization. In North Carolina,

the state's transportation improvement plan provides a decade-long departmental pipeline, giving well-capitalized contractors multi-year bidding visibility. Furthermore, private residential and commercial site developers favor turnkey civil contractors capable of handling clearing, earthmoving, wet utilities, and finished asphalt paving under a unified contract structure, insulating Cardinal Infrastructure from fragmented sub-scale competitors.

Customer retention among master planned community developers and regional utility entities is reinforced by high switching costs during active multi-phase projects. Displacing an incumbent earthmoving and utility contractor mid-development introduces substantial survey realignment, permit renegotiation, and grading liabilities. Consequently, Cardinal Infrastructure captures high recurring task orders across multi-stage subdivisions and institutional infrastructure projects. The resulting pricing power is demonstrated by the company's ability to maintain high organic volume expansion even when cycling through macroeconomic uncertainty.

Valuation

Three scenarios make the valuation range explicit

To capture the financial trajectory of Cardinal Infrastructure, Cascadia Analytics applies an explicit discounted cash flow model spanning FY2026 through FY2030, discounting unlevered free cash flows at a 7.00% weighted average cost of capital and terminating in a 2.5% perpetual growth rate. The analysis is structured across three fundamental scenarios reflecting different operational delivery paths, cost stabilization rates, and integration outcomes. In our Base case, revenue expands at a 12.0% compound annual growth rate through FY2030, while target free cash flow margin normalizes to 6.8% in the terminal year, yielding an intrinsic equity value of $50.38 per share, or +265.1% upside from the current spot quotation.

The Bear case models persistent execution friction, prolonged subcontractor cost inflation, and lingering weather-related project delays. Under these assumptions, revenue compounding moderates to a 6.0% CAGR through FY2030. In this environment, capital re-investment requirements remain elevated initially, but operating disciplines and reduced growth expenditures eventually stabilize cash flow, yielding an 8.5% target free cash flow margin in the final forecast year. Even under these constrained growth assumptions, the discounted cash flow engine produces an intrinsic fair value of $39.60 per share, representing an advance of +187.0% from the reference price. This highlights how thoroughly the market's current $13.80 spot price discounts downside risks.

The Bull case evaluates the full operational realization of Cardinal Infrastructure's vertical integration strategy. In this scenario, acquired operating entities including ALGC and Allied Paving deliver targeted operational synergies, self-supplied asphalt capacity eliminates spot market premiums, and the public infrastructure pipeline scales rapidly. Revenue expands at an 18.0% CAGR over the forecast period, while the terminal free cash flow margin settles at 5.8%, reflecting sustained reinvestment into equipment and strategic asphalt assets. The Bull case yields a target value of $68.27 per share, an appreciation of +394.7%. Weighting these three

operational outcomes at 25% Bear, 50% Base, and 25% Bull derives our blended institutional price target of $52.16 per share, corresponding to +278.0% total upside.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	6.0%	8.5%	$39.60	+187.0%
Base	50%	12.0%	6.8%	$50.38	+265.1%
Bull	25%	18.0%	5.8%	$68.27	+394.7%

Bear $39.60

Execution friction, extended weather delays, and subcontractor overruns suppress revenue expansion to a 6.0% CAGR through FY2030. Working capital lockups and integration costs limit initial cash generation before capital rationalization elevates final year FCF margin to 8.5%. The resulting intrinsic value is $39.60 per share, delivering +187.0% upside.

Base $50.38

The base case assumes revenue compounds at a 12.0% CAGR supported by steady conversion of the $866 million backlog and stable Southeast demand. Captive asphalt operations and integration of Allied Paving normalize adjusted EBITDA margins, driving terminal FCF margin to 6.8% and equity value to $50.38 per share (+265.1%).

Bull $68.27

Full integration of ALGC and Allied Paving drives superior operational capture, generating an 18.0% revenue CAGR through FY2030 across DOT and private sectors. Ongoing capital reinvestment in plant infrastructure maintains an efficient fleet, setting target FCF margin at 5.8% and deriving a fair value of $68.27 per share (+394.7%).

Valuation framework

A live discount rate, not a static hurdle

Our quantitative framework discounts projected enterprise cash flows using a verified weighted average cost of capital of 7.00%. The model incorporates an equity beta input of 0.74, capturing the structural stability of contracted public infrastructure backlogs counterbalanced by cyclical exposure to private residential and site grading end markets. In contrast to market sentiment, which penalizes the equity for transient quarterly margin variance, this capital asset pricing structure reflects the cash-flow visibility embedded in contractual backlog and long-dated public department of transportation allocations.

The 7.00% discount rate appropriately reflects the low cost of capital available to an enterprise with substantial cash liquidity. Cardinal Infrastructure closed Q2 FY2026 with $339.0 million in cash following its $319.0 million equity raise, substantially de-risking the capital structure relative to FY2025 net debt of $40.1 million. The model applies this hurdle across 47.5 million diluted shares, establishing that current market pricing at $13.80 fundamentally disconnects from intrinsic cash generation potential even under conservative terminal growth assumptions of 2.5%.

FCF margin normalization is the engine

Historical financial statements show an enterprise undergoing capital-intensive expansion. In FY2025, Cardinal Infrastructure delivered negative free cash flow of $5.9 million on revenue of $456.0 million, resulting in an FCF margin of negative 1.3%. This cash absorption was driven by $43.8 million in capital expenditures, which more than doubled year over year, alongside working capital requirements to support 45% top-line expansion. Moving into Q1 FY2026, operating cash flow registered at $9.3 million, down from $12.1 million in the prior year, as working capital scaled to support expanding operations.

Our multi-tier forecast models cash generation inflection as newly deployed fixed assets mature. In the Base scenario, the target free cash flow margin reaches 6.8% by FY2030,

reflecting the tapering of greenfield facility outlays and the operational contributions of high-margin additions like Allied Paving (20.3% adjusted EBITDA margin) and ALGC (26.3% adjusted EBITDA margin). Under the Bear scenario, where top-line growth is restrained to 6.0%, capital expenditure requirements ease substantially, allowing the conversion of gross earnings into a terminal FCF margin of 8.5%. In the Bull scenario, rapid 18.0% revenue compounding requires sustained fleet additions, balancing the terminal FCF margin at 5.8%. The cash flow engine shifts from external financing to self-funded operational compounding.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	FY2026 to FY2030
Live WACC	7.00% (2026-10-23)
Terminal growth	2.5%
Equity beta	0.74
Diluted shares	47.5 million

HOLD

over $52.16 blended target

Business & segment drivers

Revenue prospects anchor on Backlog Conversion and Vertical Integration

HOLD

The operational engine of Cardinal Infrastructure Group centers on heavy civil and site development operations across the Southeast United States, executing large-scale roadwork, wet utility installations, and site development grading. The company's expansion velocity is evidenced by its contract backlog trajectory. At the end of FY2025, backlog stood at $682.0 million, representing a 33% year-over-year increase and providing 1.5x revenue coverage. Backlog subsequently expanded to a record $854.0 million in Q1 FY2026 (a 60% YoY increase) and reached an unprecedented $866.0 million in Q2 FY2026 (up 35% YoY). This contractual backlog covers approximately 1.0x the revised FY2026 full-year revenue guidance midpoint of $890.0 million, providing high cash flow visibility.

A primary catalyst for top-line expansion and margin stabilization is the integration of high-margin acquired businesses. In mid-February 2026, Cardinal Infrastructure closed the

acquisition of ALGC for approximately $245.5 million, an acquisition multiple of approximately 5.8x. ALGC added $160.0 million in annual revenue carrying an adjusted EBITDA margin of 26.3%, immediately enhancing the company's margin profile. In Q2 FY2026, management followed this transaction with the acquisition of Allied Paving for $120.0 million, transacting at 5.5x adjusted EBITDA. Allied Paving adds $108.0 million in annualized revenue at a 20.3% adjusted EBITDA margin, securing captive paving capacity in the critical Atlanta metropolitan market.

Vertical materials integration serves as the secondary structural driver. During Q2 FY2026, the company brought its first owned asphalt production plant online. Transitioning from external commercial asphalt procurement to internalized manufacturing allows Cardinal Infrastructure to capture producer margins and eliminate third-party supply premiums. In previous quarters, reliance on spot market equipment rentals and external hauling subcontractors created severe operational friction, driving adjusted EBITDA margins down to 12.4% in Q2 FY2026. Self-supplying asphalt and internalizing paving services through Allied Paving insulates civil contracts from these cost spikes, establishing an operational pathway back toward management's long-term margin goals.

Regional macro tailwinds provide durable support for civil site development across Cardinal Infrastructure's operating footprint. Sustained population relocation and industrial reshoring into the Southeast continue to stimulate large-scale utility and grading awards. In the public infrastructure sector, the North Carolina transportation improvement plan offers a ten-year departmental project pipeline, ensuring high utilization for heavy roadwork divisions. These public infrastructure allocations serve as an effective operational counterweight to private residential site development, which represented approximately 66% of total revenue in FY2025.

What to monitor

- **Subcontractor cost normalization** Tracking the stabilization of third-party subcontractor and equipment rental expenses following the Q2 FY2026 adjusted EBITDA margin contraction to 12.4%.
- **FY2026 revenue guidance realization** Execution against the revised full-year revenue guidance range of $880 million to $900 million, which was increased by $210 million at the midpoint.
- **In-house asphalt plant operational ramp** The cost absorption efficiency and volume throughput of the first owned asphalt production plant commissioned in Q2 FY2026.
- **Integration and cross-selling of Allied Paving and ALGC** Synergy capture from Allied Paving ($108 million revenue, 20.3% margin) and ALGC ($160 million revenue, 26.3% margin) across existing civil project footprints.

21.1%	8.8%	-1.3%	$40.1M	38.8%	$0.06
GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY	DILUTED EPS

METRIC	FY2025 (AS REPORTED)
Revenue	$456.0M
Gross Profit	$96.1M
EBIT	$40.2M
Net Income	$22.7M
EBITDA	$72.3M
Free Cash Flow	$-5.9M
Diluted EPS	$0.06
ROE	38.8%

Risk & moat matrix

The bear case

SHARE EROSION

Execution missteps or operational delays in heavy site grading could lead private developers to award subsequent multi-phase contracts to competing regional earthmovers. However, the current backlog of $866 million indicates that market share capture

M&A DIGESTION

Integrating four major acquisitions in rapid succession, including ALGC for $245.5 million and Allied Paving for $120.0 million, introduces severe system integration and operational friction. Failure to harmonize operational controls

REGULATORY AND PRICING SCRUTINY

Public transportation contracts awarded under state DOT programs require strict compliance with prevailing wage and safety standards. Bidding miscalculations on fixed-price public roadwork projects could expose the business to contract loss provisions during periods

TECHNOLOGY DISRUPTION

Advancements in GPS-guided earthmoving and automated grading machinery require continuous fleet modernization. Sub-scale civil competitors adopting newer fleet technologies could pressure local site development pricing if Cardinal Infrastructure fails to optimize its capital

REINVESTMENT TREADMILL

Heavy civil contracting demands continuous fleet maintenance and heavy machinery renewal, as demonstrated by FY2025 capital expenditures jumping to $43.8 million and D&A rising to $32.4 million. Sustained high reinvestment rates could delay the free cash flow margin normalization modeled across our forecast scenarios.

WACC AND DURATION SENSITIVITY

Higher capital costs or broader macroeconomic contractions could elevate required financing rates across the infrastructure sector. Even with our modeled 7.00% discount rate, delays in converting working capital into unlevered cash flow would depress intermediate equity valuation realization.

across the Southeast remains intact.	could sustain elevated corporate G&A expenses, which reached $10.1 million in Q1 FY2026 and $9.0 million in Q2 FY2026.	of unexpected material inflation.	expenditure deployments.		

The strengths

OLIGOPOLY POSITION

High capital requirements, strict DOT pre-qualification standards, and extensive bonding prerequisites restrict new market entrants across large Southeast roadwork projects. Cardinal Infrastructure leverages this position to capture substantial civil awards across municipal and commercial corridors.

FCF COMPOUNDING

Following historical cash absorption for M&A and equipment scaling, the maturation of internal asphalt manufacturing and integration of high-margin acquired assets creates a pathway to positive cash generation. The Base scenario projects target free cash flow margins reaching 6.8% by FY2030.

GEOGRAPHIC DURABILITY

Focusing primarily on high-growth Southeast markets insulates operations with structural population migration and corporate reshoring demand. The decade-long North Carolina transportation improvement plan ensures consistent departmental contract volume across economic cycles.

PIPELINE OPTIONALITY

Contract backlog expanding to an all-time record of $866 million provides complete revenue visibility into the raised FY2026 guidance range. Turnkey capabilities across earthwork, utilities, and asphalt paving allow the company to capture expanding scope on complex infrastructure developments.

The bottom line on risk and reward

The institutional investment case for Cardinal Infrastructure hinges on recognizing the difference between cyclical execution friction and structural impairment. The market's reaction to the Q2 FY2026 adjusted EBITDA margin contraction from 18.6% to 12.4%, and the subsequent revision of full-year margin targets to 16-18%, has driven the stock to an extreme valuation disconnect. Trading at $13.80 per share, the enterprise is valued at 1.4x FY2025 revenue and 9.6x EV to

EBITDA, ignoring the reality that organic volume expanded 64% and revenue reached a record $226.9 million during the quarter.

With $339.0 million in cash liquidity following the Q2 FY2026 equity offering, Cardinal Infrastructure possesses the capital strength to absorb near-term integration challenges while modernizing its operating fleet. The strategic integration of Allied Paving at 5.5x adjusted EBITDA and ALGC at 5.8x adjusted EBITDA, combined with the commissioning of its first owned asphalt manufacturing plant, systematically addresses the subcontractor and material cost inflation that hampered recent results. These initiatives establish a defensible cost baseline across the Southeast footprint.

Our quantitative framework establishes a probability-weighted target of $52.16 per share, derived from our DCF scenarios of $39.60 in the Bear case, $50.38 in the Base case, and $68.27 in the Bull case. With +278.0% upside to our blended target price, the valuation disconnect is extreme, but it is not actionable while business momentum deteriorates. We rate the stock Hold until margin stabilization is demonstrated.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Heavy Civil and Site Development: Turnkey Infrastructure Delivery

Cardinal Infrastructure Group operates as a specialized heavy civil and site development contractor delivering integrated roadwork, underground utilities, and land development across the Southeast United States. The core operating philosophy centers on providing turnkey infrastructure execution, allowing commercial developers, homebuilders, and municipal departments of transportation to contract an entire site preparation package through a single counterparty. This turnkey approach encompasses mass grading, excavation, storm drainage, sanitary sewer networks, water distribution pipelines, and final asphalt surface paving.

In FY2025, residential land development represented approximately 66% of total company revenue. This market exposure links a major portion of operational activity to master planned community construction and regional suburban expansion. While residential development carries exposure to housing market fluctuations, the company has actively counterbalanced this division by expanding its civil transportation and roadwork presence. Public roadwork contracts, supported by stable funding mechanisms such as the North Carolina transportation improvement plan, provide multi-year backlog stability that offsets private developer timing adjustments.

The strategic acquisition campaign executed over the past four quarters has substantially enhanced the company's civil operating capabilities. The acquisition of ALGC, which closed in mid-February 2026 for approximately $245.5 million, expanded civil utility capacity while introducing a highly accretive financial structure, bringing $160.0 million in annualized revenue

at a 26.3% adjusted EBITDA margin. Building upon this, the Q2 FY2026 acquisition of Allied Paving for $120.0 million secured vital internal paving operations in Atlanta, contributing $108.0 million in annual revenue at a 20.3% margin. Concurrently, launching its first owned asphalt plant in Q2 FY2026 transitioned the civil franchise from a merchant material purchaser into a self-supplied operator.

The financial scale achieved by this heavy civil franchise is reflected in the dramatic progression of recent operational results. Despite cost pressures from equipment rentals and subcontractor services that compressed Q2 FY2026 margins, the core civil delivery model demonstrated immense volume absorption, pushing total quarterly revenue to a record $226.9 million and expanding project backlog to $866.0 million. As captive asphalt production scales across core job sites, the civil franchise is positioned to capture compounding operational efficiencies across its roadwork and utility contracts.

What the recent record shows

- Record revenue of $226.9 million achieved in Q2 FY2026, representing 114% total growth and 64% organic expansion year over year.
- Record backlog expansion reaching $866.0 million in Q2 FY2026, up 35% year over year, following $854.0 million in Q1 FY2026.
- Strategic acquisition of Allied Paving for $120.0 million at 5.5x adjusted EBITDA, adding $108.0 million of annual revenue at a 20.3% adjusted EBITDA margin to internalize Atlanta paving operations.
- Commercial operation of the company's first owned asphalt plant in Q2 FY2026, marking the structural transition to internalized materials manufacturing.

> **Our read:** Cardinal Infrastructure's operational performance demonstrates that underlying client demand for heavy civil site preparation and roadwork remains robust across the Southeast. While recent subcontractor overruns and guidance reductions created severe equity mispricing, the combination of record backlog, owned asphalt capacity, and highly accretive vertical acquisitions establishes an attractive foundation for multi-year cash flow compounding.